Playbook: Assignment and Change of Control

NORTHWIND SYSTEMS INTERNAL LEGAL PLAYBOOK
SECTION 12: ASSIGNMENT AND CHANGE OF CONTROL
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12.1 Overview and Governance

This Section 12 governs the drafting, negotiation, and internal escalation of Assignment and Change of Control provisions in all Northwind Systems B2B SaaS Master Subscription Agreements (MSAs), Order Forms, and Enterprise Agreements.

Every outbound contract must default to the Preferred Position set out in Subsection 12.2. Deviations are permitted only in accordance with the thresholds in Subsection 12.5 and the escalation matrix in Subsection 12.6.

12.2 Preferred Position (Model Clause Language)

When drafting Northwind-initiated agreements, or when responding to a blank slate, the following model clause must be inserted without modification:

> Section 12. Assignment and Change of Control.
>
> (a) Assignment by Northwind. Northwind may freely assign, transfer, or delegate this Agreement, in whole or in part, to any corporate affiliate, or in connection with a merger, acquisition, corporate reorganization, or sale of all or substantially all of its assets or voting securities, without Customer’s prior written consent.
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> (b) Assignment by Customer. Customer shall not assign, delegate, or otherwise transfer this Agreement or any of its rights or obligations hereunder, whether voluntarily, involuntarily, by operation of law or otherwise, without the prior written consent of Northwind, which consent shall not be unreasonably withheld, conditioned, or delayed. Any attempted assignment or transfer in violation of this Section 12(b) shall be null and void ab initio.
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> (c) Change of Control. Any transaction or series of related transactions resulting in (i) the direct or indirect acquisition of more than fifty percent (50%) of the voting stock or equity interests of Customer, or (ii) a merger, consolidation, or reorganization of Customer with or into another entity, shall be deemed an assignment requiring Northwind’s prior written consent pursuant to Section 12(b). For the avoidance of doubt, this restriction applies regardless of whether Customer is the surviving entity.
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> (d) Permitted Exceptions. Notwithstanding Section 12(b), Customer may assign this Agreement without Northwind’s consent to a successor-in-interest resulting from a merger, acquisition, or sale of all or substantially all of Customer’s assets, provided that: (i) Customer provides Northwind with written notice within thirty (30) days following the closing of such transaction; (ii) the assignee is not a direct competitor of Northwind (as determined by Northwind in its reasonable discretion); (iii) the assignee agrees in writing to assume all of Customer’s obligations under this Agreement; and (iv) the assignee maintains a credit rating or financial capitalization equal to or greater than Customer as of the Effective Date of this Agreement.

12.3 Fallback Position

If the counterparty rejects the Preferred Position, the legal team is authorized to negotiate down to the following fallback terms:

> Section 12 Fallback Parameters:
> 1. Customer may assign the Agreement to a wholly owned corporate affiliate or in connection with a merger or sale of all or substantially all of its assets, without prior written consent, provided Northwind receives written notice within fourteen (14) calendar days post-closing.
> 2. The assignee must execute a standard Northwind assumption agreement within thirty (30) calendar days of the closing date.
> 3. If the assignee’s trailing twelve-month (TTM) revenue or balance sheet net worth is less than eighty percent (80%) of Customer’s financial metrics at the Effective Date, Customer must provide an unconditional parent guarantee or an irrevocable letter of credit equivalent to six (6) months of contract fees within twenty (20) business days of request.
> 4. Change of control to a direct competitor is permitted only if Customer pays an accelerated termination fee equal to one hundred percent (100%) of the remaining total contract value (TCV) across all active Order Forms within fifteen (15) days of the transaction closing.

12.4 Walk-Away Position

Legal counsel must cease negotiations and invoke executive escalation (or walk away from the deal) if the counterparty insists on any of the following terms:

1. Unilateral Affiliate Assignment for Competitors: Allowing Customer to assign the contract to an entity that owns, operates, or invests in a product directly competing with Northwind’s SaaS platform without Northwind's express prior written consent.
2. Unconditional Change of Control: Permitting Customer to undergo a Change of Control to a private equity firm or strategic buyer without notice, financial vetting, or assumption obligations.
3. No-Consent Asset Transfers: Permitting the spin-off or transfer of the SaaS subscription to an undercapitalized special purpose vehicle (SPV) or subsidiary without a financial floor or parent guarantee.
4. Fee Caps on Assignment Liability: Limiting the assignee’s liability upon breach following an assignment to a multiple lower than two times (2x) the annual recurring revenue (ARR) of the affected Order Form.

12.5 Numeric and Categorical Thresholds

The following thresholds are absolute boundaries for the legal team during negotiations:

* Threshold 1 (Notice Period): Minimum advance or retroactive notice period for permitted corporate reorganizations: fourteen (14) calendar days.
* Threshold 2 (Cure Period): Standard cure period for breach of assignment or unauthorized Change of Control provisions: ten (10) business days following written notice from Northwind.
* Threshold 3 (Monetary Floor): Minimum annual contract value (ACV) below which no structural concessions on assignment (such as waiving competitor restrictions) may be granted: $150,000 USD.
* Threshold 4 (Liability Cap Multiplier): Maximum permitted cap on post-assignment indemnification or breach liability for assignees: two times (2.0x) the total fees paid or payable under the active Order Form in the preceding twelve (12) months.

12.6 Named Deviations and Escalation Matrix

Any contract clause that breaches the Fallback Position but stops short of the Walk-Away Position requires formal written sign-off from the named internal authority before contract execution:

Deviation Type	Description	Mandatory Escalation Authority
1. Competitor Exception Waiver	Customer insists on pre-approving an affiliate or anticipated acquirer that is a known direct competitor of Northwind Systems.	Chief Executive Officer (Marcus Vance)
2. Financial Threshold Reduction	Customer requests to waive the parent guarantee or letter of credit requirement where assignee net worth is between fifty percent (50%) and seventy-nine percent (79%) of Customer's baseline.	Chief Financial Officer (Elena Rostova)
3. Extended Notice Window	Customer demands a post-transaction notice period exceeding forty-five (45) calendar days (exceeding the standard 14-day fallback and 30-day preferred terms).	General Counsel (Sarah Vance)

12.7 Worked Examples of Counterparty Language

Acceptable Counterparty Language (Approved for inclusion without escalation)

* Example A.1: *"Either party may assign this Agreement without the other party's consent to any entity that acquires all or substantially all of its stock or assets, provided that the assigning party provides written notice to the non-assigning party within thirty (30) days of closing, and the assignee expressly assumes all obligations of the assignor in writing."*
* *Rationale:* Mutual, includes a post-closing notice window (30 days), and mandates written assumption. Aligns with Fallback Position parameters.

* Example A.2: *"Customer may assign this Agreement to any wholly-owned subsidiary without Northwind’s prior written consent, provided that Customer remains fully liable for the performance of all obligations under this Agreement."*
* *Rationale:* Affiliate assignment with retention of liability by the primary contracting entity. Protects Northwind against credit risk.

Unacceptable Counterparty Language (Requires rejection or immediate escalation)

* Example U.1: *"Customer may assign this Agreement, in whole or in part, to any third party at any time without notice to or consent from Northwind, and upon such assignment, Customer shall be fully released from all liability hereunder."*
* *Rationale:* Uncapped unilateral assignment with automatic novation (release of liability). This violates Walk-Away criteria and creates extreme credit and legal risk.

* Example U.2: *"Northwind shall not unreasonably withhold, condition, or delay its consent to any assignment of this Agreement by Customer, including assignment to any direct competitor of Northwind operating in the enterprise software sector."*
* *Rationale:* Forces Northwind to onboard direct competitors onto its platform and strips Northwind of its proprietary right to restrict competitive intelligence access. Requires escalation to CEO Marcus Vance, who will reject.